BUSINESS MODEL TYPES

Learning Outcome

- describe various types of business models

Conventional Business Models

Some business models are common and have existed for a long time. Alone or in combination with one another, these conventional models make up most business models in practice and are thus essential for analysts to understand. We briefly describe eight conventional models in Exhibit 5 using the framework in the prior lesson. In practice, each industry sector tends to have its own version of these conventional models, with specific features, such as "athletic apparel manufacturer."

Exhibit 5:

Conventional Business Models

Conventional Model	Customers	Products	Channel	Pricing
Natural Resource Producer	▪ Refiners ▪ Distributors	▪ Usable natural resources and raw material	▪ Contracts with refiner or distributor, based on spot or forward prices	▪ Spot or forward market prices in contracts
Manufacturer	▪ Distributors ▪ End-users (direct)	▪ Finished goods	▪ Distributors ▪ Direct salespeople or digital	▪ Price per product sold ▪ Subscription
Distributor	▪ Retailers	▪ Transportation and storage	▪ Retailers	▪ Spread on purchase price vs. sales price ▪ Delivery or service fee
Retailer	▪ End-users	▪ Finished goods • Customer experience	▪ Stores ▪ Direct salespeople or digital	▪ Mark-up on products sold ▪ Member service fees
Broker	▪ Buyers and sellers	▪ Connecting buyers and sellers	▪ Salespeople ▪ Digital	▪ Commissions ▪ Listing fees

Bank	▪ Borrowers	▪ Loans ▪ Leases	▪ Digital ▪ Branches, Loan officers	▪ Loan and lease interest rate spread over interest rate paid for funding
Service Producer	▪ Services ▪ Businesses	▪ Services	▪ Direct salespeople or digital	▪ Service fees ▪ Mark-ups on product used or sold
Software	▪ Services ▪ Businesses	▪ Software	▪ Direct salespeople or digital	▪ Subscription fee ▪ License costs• • Maintenance fee

Business Model Variations

While the conventional business models are enough to describe many companies, there are many others in practice. Most of them are simply combinations of the conventional models or industry-specific variations.

- Private label or **contract manufacturers** that produce goods to be marketed by others. This is a common arrangement, particularly for offshore production. Apple and NVIDIA, for example, do not manufacture their own branded products but instead contract with many specialized contract manufacturers in Asia. Apple and NIVIDIA manage a web of complex relationships, while specializing in R&D, product design, and sales and marketing.
- **Value added resellers** not only distribute a product but also handle more complex aspects of product installation, customization, service, or support. This is common with complex, service-intensive products, such as construction machinery, IT hardware, and enterprise software.
- **Licensing arrangements** in which a company will produce a product using someone else's brand name in return for a royalty: This is common in toys and apparel, for example, when manufacturers might pay for the right to use the name of a famous film character, a sports team, or a brand that has become popular in a related category, such as sporting goods.
- Franchise models in which franchisees have a tightly defined and exclusive relationship with a franchisor to operate under a specific brand with proprietary products and processes. Restaurants, retailers, and auto dealerships are common types of franchises. The franchisor earns a royalty on the franchisee's sales. The franchisor is responsible for product development and advertising, for which it often collects an additional fee from franchisees.

Business Model Innovation

innovation is often combined with technological innovation and pioneered by new market entrants rather than industry incumbents.

Exhibit 6 identifies several historical cases of business model innovations in various industries. Notice how innovation becomes convention over time.

Exhibit 6:

Business Model Innovation Historical Examples

Industry	Business Model Innovation	Innovative Features
Airlines	▪ Low-cost and ultra-low-cost airlines	▪ Customer: leisure, mass market ▪ Product: Point-to-point flights ▪ Low prices ▪ No frills, low costs ▪ Channel: direct, digital sales
Software	▪ Software as a service (SaaS)	▪ Price: monthly fees rather than upfront license ▪ Customer: broader, owing to pricing
Retailing	▪ Discount retailing ▪ E-commerce ▪ Digital marketplaces	▪ Prices ▪ Product selection ▪ Channel
Securities brokerage	▪ Discount brokers	▪ Customer: individuals ▪ Low or free commissions ▪ No extra services or research, low costs ▪ Channel: direct, digital sales

Digital technology has generated many new products, such as streaming video, digital advertising, social media, and dating apps and has enabled many business model innovations, such as digital marketplaces. While large-scale business model innovation did not start with digital technology, the rapid and open-ended advance of digital technology has dramatically changed how businesses operate by radically reducing the cost of communicating, exchanging information, and financially transacting. This had several direct implications for many businesses:

- Location matters less. Digital communications and e-commerce enable customers to shop and purchase more easily from firms having no local physical presence.
- Outsourcing is easier, for similar reasons.
- Digital marketing makes it easy and cost effective to reach very specific groups of customers, regardless of location, and to engage more deeply with them than was possible with traditional advertising.
- Network effects, discussed next, have become more powerful and accessible to more firms.

Network Effects and Platform Business Models

Network effects refer to the increase in value of a network to its users as more users join. Many internet-based businesses are built on network effects; for example, China's WeChat messaging and payment platform is valuable to its users in large part because it

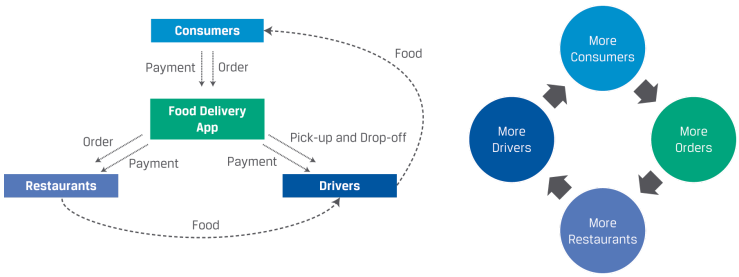
social media, and ride-sharing services are other examples. Network effects capitalize on both economies of scale and economies of scope. Network effects are also at work in many older, pre-internet businesses, such as telephone service, payment systems including credit cards, and financial infrastructure, such as stock exchanges. In all these businesses, the key metric is the number of users and the growth rate of users.

"One-sided" network effects apply in networks where it is only one *type* of user that is valuable to other users: for example, telephone services and peer-to-peer payment systems, such as Venmo, a mobile app owned by PayPal that enables users to easily transfer, deposit, and withdraw money. Connections between users are crucial, but there is one type of user. Depending on the size and the connections of the network, the marginal cost of acquiring each additional user is lower than the revenue generated by adding the user to the network.

In some cases, networks are composed of two or more *types* of users, which can be described as "two-sided" or "multi-sided" networks, such as buyers and sellers in an online marketplace. The typical example for these multi-sided platforms includes credit and debit card networks, such as Visa and China Union Pay, composed of both merchant and cardholder users. Other examples include digital marketplaces, such as Airbnb, composed of both hosts and guests. As these multi-sided networks grow—more users join the service, which attracts more merchants, which in turn attracts more users—these businesses can grow exponentially. The growth of food delivery services connects restaurants, independent drivers, and customers and has evolved through multiple interdependent network effects. As each of the three groups has grown, they in turn increase the aggregate size of their networks, as Exhibit 7 shows. Network effects create strong barriers to entry and are a form of competitive advantage.

Exhibit 7:

Multiple Network Effects for Multi-Sided Platforms



▶ Expand / collapse Extended Description

Network business models often include **crowdsourcing**, where users contribute directly to a product or service. Examples include social media, such as TikTok/Douyin and Reddit; open-source software; knowledge aggregators, such as Wikipedia; and customer reviews and feedback on, for example, Yelp, Amazon, and TripAdvisor. These businesses facilitate "user communities" that enable voluntary collaboration between users of a product with a small amount of moderation and oversight by the company.

EXAMPLE 7

Business Model Evolution in the Hotel and Travel Industry

The hotel industry provides a good illustration of business model evolution over time and the emergence of different business models, with varying financial characteristics. Until the 20th century, business model evolution was slow. In response to increasing scale and specialization demanded by a growing market, hotels became larger and more numerous but with little change in the basic business

inherent uniqueness of certain hotel properties.

However, with a much larger and highly mobile customer base, hotel operators saw an opportunity, with the need to serve a growing corporate travel market, increase the scale and footprint of their businesses, and provide convenience and consistency to customers, thereby increasing operating efficiency. Some specific examples are outlined below.

Impact		Example
Scale	Large, global hotel chains and brands with multiple locations that serve highly mobile customers in numerous market segments.	Intercontinental Hotels & Resorts has more than 15 brands in approximately 6,000 locations. Brands range from basic to luxury and extended stay.
Specialization	Specialized lodging businesses to serve specific market segments	Resort hotels, vacation packages (bundled flights + lodging + meals), casinos, weekly/monthly accommodation (for out-of-town executives)
Franchising	Applying the franchise approach to the hotel business	Most Hilton Hotels properties are not owned or leased by Hilton but are operated by franchisees who pay fees.
Functional separation	Specialized businesses handling such functions as branding and marketing, property ownership, management, and development	REITs and property ownership: The largest hotel companies seldom own all their hotels; some own none. Host Hotels & Resorts, the world's largest hotel REIT, owns close to 100 hotel properties and is the largest third-party owner of Marriott and Hyatt hotels.
Fractionalized ownership	Fractionalized ownership in the form of time-sharing, creating a new lodging category between the hotel and the vacation home	Wyndham Destinations is the largest vacation ownership company. The company develops, sells, and manages time-share properties under various vacation ownership clubs.
Loyalty programs	The introduction of programs to increase brand loyalty among high-value, frequent travelers	Hotel loyalty programs first introduced by Holiday Inn and Marriott in 1983

The digital transformation of business models has also impacted the hotel business. To increase the efficiency in marketing and distribution of hotel and travel-related services, Online Travel Agency (OTA) reducedthe complexities of travel planning and bookings. In both its traditional and online forms, the travel agency business is a two-sided network.

Like a traditional travel agent, OTA assists travelers with research and planning, price comparisons, bookings, and logistics. For hotels, it provides exposure, leads, bookings, customer information, feedback, and competitive intelligence. Automating these functions and delivering them as a web-based service so greatly improved their convenience, speed, and efficiency that the business model was transformed, shifting the relationship and the balance of power between agencies and their hotel customers. Effectively, through network effects, OTA disintermediated the traditional travel agency model and forced the remaining agencies to specialize. Examples of differing OTA business models are shown below.

OTA Business Model	Description	Examples
Price-comparison "aggregators"	These network-based businesses offer buyers and sellers in the	Booking.com, Expedia, Ctrip, eDreams

	hotel and travel community travel-related price comparison services and bookings.	
Crowdsourcing	These platform businesses provide crowdsourced reviews and information on hotels and other travel services.	TripAdvisor.com
Home sharing/short-term rental service	These platform businesses have challenged and disrupted the traditional hotel model by supplying a variety of temporary, often unique, accommodations.	Airbnb; Vrbo (acquired in 2006 by HomeAway, which in turn was acquired by Expedia in 2015)

Hotel operators have responded to these challenges by investing in their own websites, customer data, and direct booking capabilities or selling directly to various sites. Some traditional hotel chains, which have historically emphasized consistency and uniformity, have launched so-called soft brands, which are hotels that operate under their own name but with a greater degree of local operator autonomy. Moreover, they have created hybrid hotel solutions, such as condo-hotels (condos in a hotel that are at the disposal of the owner but are rented out otherwise by the hotel).

Question Set

Bynta is a new entrant in the retail clothing industry. It is competing against Ocean Hill Inc., an established industry incumbent that uses a conventional business model.

1. What attributes of a conventional retail business model will Bynta and Ocean Hill Inc. likely share?

   Hide Solution

   Solution:

   The four major components of a business model framework are customers, products, channels, and pricing. Bynta and Ocean Hill Inc. will likely be similar in that their customers will be end users of the products, their products will be finished goods, and their pricing will be based on markup on products sold.

2. What most likely would distinguish Bynta from Ocean Hill Inc.?

   Hide Solution

   Solution:

   Bynta can distinguish itself from Ocean Hill Inc. by using digital technology to reduce the cost of communicating, exchanging information, and financially transacting. With digital technology, location matters less because e-commerce allows for shopping and purchasing without the need for a physical storefront.

   Outsourcing to private label or contract manufacturers is also made easier with digital technology and will allow Bynta to focus more on product design, sales, and marketing.

   Improved customer segmentation is also enabled by digital technology, allowing for segments that are narrower and unique to Bynta's product categories. Digital technology in marketing will make it easier and more cost effective for Bynta to reach very specific customer segments, regardless of location, and to engage more deeply with them than is possible with traditional advertising. Sophisticated market analytics can be used to break out smaller, homogeneous

and penetrate using targeted digital advertising.

Bynta can also benefit from network effects and crowdsourcing by facilitating user communities that enable voluntary collaboration between its customers.

3. Given an increase in the price of raw materials/commodities, what is the difference in revenue/profit impact for producers versus manufacturers versus distributors and retailers?

Hide Solution

Solution:

A supply chain includes all the steps involved in producing and delivering a physical product to the end customer, regardless of whether those steps are performed by a single firm. Different firms at different points in the supply chain may attempt to mitigate the impact of raw materials/commodity price increases in different ways. Some firms may try to stabilize revenues by entering long-term customer or hedging contracts.

While these are often available for firms at the beginning of the supply chain, where there are established markets for contracts on raw materials, it is less possible further down the chain. For example, producers that sell natural resources or commodities and manufacturers that buy them can enter derivative contracts in the forward markets to secure more stable pricing for the products they sell or the key inputs that they need.

Further down the supply chain, distributors and retailers may secure long-term contracts to ensure stabilized prices, though they are unlikely to have access to structured and highly liquid derivative contracts. The manufacturing stage of the supply chain creates products that are too differentiated to support broad derivative markets as there are with commodities.

One risk is that if a firm locks in a sale price for its products while not locking in a purchase price for its raw material key inputs, it faces the risk of substantial loss if the cost of raw materials increases in the spot market.

Some firms may attempt to minimize fixed operating costs—for example, through outsourcing or flexible contracts with workers and suppliers.

Firms whose revenue/profit may be impacted by fluctuations in materials prices may also use more conservative capital structure policies, with relatively little debt and therefore smaller fixed financing obligations compared with firms that are less sensitive to such fluctuations.

Questions 4 and 5 expand on the earlier example of business model evolution in the hotel and travel industry.

4. Describe the differences in features between the hotel business model and the home-sharing business model.

Hide Solution

Solution:

Many hotels use a franchise model in which franchisees have a tightly defined and exclusive relationship with a franchisor to operate under a specific brand with proprietary products and processes. The franchisor earns a royalty on the franchisee's sales.

Homesharing follows an Online Travel Agency (OTA) business model and has challenged and disrupted the traditional hotel model by enabling homeowners and hosts to supply a variety of temporary, often unique, accommodations.

Solution:

One reason why there might be so many fewer OTA companies than hotel companies is that OTA companies are aggregators that benefit much more from network effects than hotel companies. “Network effects” refers to the exponential increase in value to a network’s users as the number of its users grows. A large network is valuable to its users in large part because it is used by so many people. As more users join the network, more merchants are attracted to the network, which in turn attracts more users. Hence, there are fewer OTA companies and each one attracts many users.

Network business models also often include crowdsourcing, where users contribute directly to a product or service. These businesses facilitate “user communities” that enable voluntary collaboration between users of a product via customer reviews and feedback and require only a small amount of moderation and oversight by the company.

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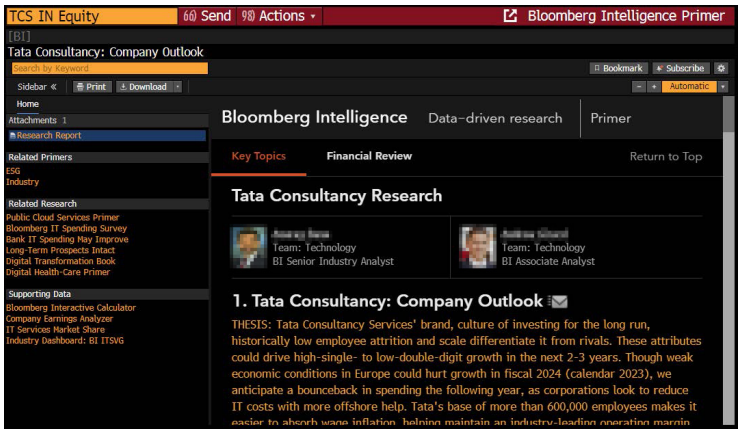

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